MODULE 03 · CASE STUDY 12 · PRE-READ FOR CLASS 12

Two Cases: Questions, and Sources

Three Companies That Did Research · What Was Already Known, and What Nobody Had Asked

READ THIS BEFORE CLASS

This is a new module, and it changes the subject. Everything so far has been about what to look for in a customer. From here on it is about how you actually go and find it, which turns out to be much harder to do well and much easier to do badly.

Two cases in this document, five companies between them. Read both. There is nothing to memorise, no definitions and no frameworks in here. Arrive with the five stories in your head and a few opinions you are willing to defend out loud.

30–40	2	8
Minutes to read	Cases	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

CASE A

Three Companies That Did Research

Two of them did a great deal of it, spent heavily on it, and were destroyed anyway. The third one asked something that killed its own founding idea in the first year.

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

There is a trap here and you should know about it before you start, because almost every reader falls into it. When you read about a company that failed, the instinct is to conclude that it was careless, or arrogant, or did not listen to its customers. Resist that in all three cases, because it is factually wrong for the first two. Nokia's research operation was large, well funded, methodically careful and staffed by capable people. Micromax's founders were famous for how quickly they read what Indian customers wanted, and they were right about it for six straight years.

Neither company failed from a lack of research. So read for what each company went and asked, and of whom. Write those two things down for each company as you go. They are not the same as the mistakes each company made, and only one of the two is useful to you.

1 A Sentence to Sit With

It is entirely possible to run a large, expensive, professionally conducted research programme, get accurate results, believe them correctly, and be destroyed by the market anyway.

Everybody in business agrees that customer research is a good idea. Nobody argues for the opposite. Which means that agreeing with it costs you nothing and tells you nothing about whether you will actually do it well. It also produces a very common move, where a company points at the sheer volume of research it commissions as evidence that it is customer-focused — the number of interviews, the size of the sample, the thickness of the report.

The three companies below are the argument against that move. Two of them did enormous amounts of research. One of them did much less, and did something with it that the other two never did.

2 Nokia: Forty Per Cent of the World

Through the 2000s Nokia was not merely the largest mobile phone company in the world, it was one of the most dominant companies in any consumer category anywhere, at its peak holding more than 40% of the global handset market — a share competitors normally cannot approach in a market of that size. Its phones were famously well engineered. Its distribution reached villages that no other electronics brand had ever reached, including a very large part of India, where for a decade the word for a mobile phone was effectively the word Nokia.

The thing students find hardest to believe is that Nokia's research operation was excellent. This was not a company that ignored its customers. It ran continuous consumer research across dozens of markets, it had well-staffed insight teams, it tested designs, it tracked satisfaction, and it fed all of that into a product roadmap.

Here is what it asked, and who it asked. The question, in one form or another, was: *which of our features would you like us to improve?* The people it put that question to were Nokia owners, sampled from Nokia's own customer base, across dozens of markets, repeatedly over years.

The answers came back clearly and consistently: better cameras, longer battery life, sturdier bodies, more applications for the operating system they were already using. Every one of those answers was true. Customers genuinely wanted all of it. Satisfaction was high and the numbers were sound.

> **WORTH PAUSING ON**
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> Read that question again — *which of our features would you like us to improve?* — and this time read it as though you were the person being asked. There are several things it has quietly decided on your behalf before you open your mouth. See how many you can list. Then ask a separate question about the people being surveyed: if something were about to make you abandon Nokia completely, would you have been in that sample at all?

The iPhone launched in 2007 and was not, initially, a very good phone by Nokia's standards. Worse battery, worse signal, worse durability, more expensive, and it could not do several things a Nokia could. By 2013 Nokia had agreed to sell its handset business to Microsoft, and the brand that had held over 40% of the world was effectively gone from it. The research had been right the whole way down.

3 Micromax: The Crueller Version

Nokia is the case everybody teaches. Micromax is the one that should worry you more.

Micromax was founded in 2000 by Rahul Sharma, Rajesh Agarwal, Sumeet Arora and Vikas Jain as a software and distribution business, and moved into handsets in 2008. The founding insight is worth telling properly. Sharma, travelling in rural Bengal, noticed that villagers were walking to a public call office to make calls — not because they had no phone, but because there was no reliable electricity to charge one, and a local operator was running a phone off a truck battery.

Notice what he was doing at that moment. He was not asking anybody which feature they wanted. He was watching what was going wrong in people's lives around phones, in a place nobody was researching. It produced a product decision no market survey would have generated: a handset with a battery that lasted about a month on standby. Then came the dual-SIM phones, built off another observation about how Indians actually behaved, carrying two numbers to arbitrage tariffs between operators, long before the large brands took the behaviour seriously.

That approach worked spectacularly. By 2014 and 2015 Micromax held roughly 17% of the Indian smartphone market, was briefly the largest smartphone brand in the country ahead of Samsung, and sat inside the global top ten. It got there in six years, from nothing, against companies with vastly more capital.

Now watch what changed, and note that nobody in the building ever made a decision about it. Once Micromax had tens of millions of customers, there was a large, accessible base of Micromax buyers to survey, and surveying them was cheap, fast and reassuring. So that is what the company did. Those customers wanted what existing budget-phone buyers always want: a bigger battery, a better camera for the price, dual SIM, a lower price. All true. All of it faithfully reported.

What that research could not see was arriving from three directions at once. Xiaomi, Oppo and Vivo entered with better build quality and better cameras at similar prices, backed by capital that could absorb losses for years.

Reliance Jio launched in 2016 and made 4G the baseline, while Micromax was sitting on 3G inventory it could not afford to replace at speed. And demonetisation in late 2016 hit cash-based retail sales of sub-₹10,000 handsets, exactly Micromax's segment, harder than anybody's. Within about three years the company went from roughly 17% share to effectively outside the top five.

> **HOLD THIS THOUGHT**
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> Micromax in 2008 and Micromax in 2015 are the same company with the same founders, and the difference between them is not effort, money or intelligence. Write down, in your own words, what changed — and then answer the harder half: whose job was it to notice, and what would they have had to be looking at?

4 Ather: The Company Whose Research Killed Its Own Idea

Ather Energy was founded in 2013 by Tarun Mehta and Swapnil Jain, two IIT Madras graduates, and the founding idea was not the one the company is now known for. They started out building a battery-swapping system. The reasoning was that the barrier to electric two-wheelers in India was the time it took to charge, so you would swap a depleted battery for a full one in a couple of minutes and ride away.

It is a good idea. It is still a good idea; several companies pursue it today. What matters here is what happened when they went and looked properly. Their research did not come back saying the swapping idea was slightly suboptimal. It came back saying they were solving the wrong problem — that the obstacle was not charging time but that the electric scooters available in India were simply bad vehicles, underpowered and poorly built, and that no charging arrangement would fix a machine nobody wanted to ride.

So they abandoned the founding idea and became a vehicle company instead.

Sit with how unusual that is. Two founders, an idea they had committed to publicly, technical work already done, and research that said the premise was wrong — and they believed it.

What followed is worth knowing in outline, because it shows how long the consequences of one honest finding take to arrive. The first vehicle, the S340, was shown at the Surge conference in Bengaluru in 2016: three years after founding, with no product on sale and no revenue. The Ather 450, launched in 2018, was for a while the fastest electric scooter sold in India. An investment of about ₹205 crore from Hero MotoCorp was what allowed the company to scale manufacturing at all; without it the research would have been correct and commercially irrelevant. Five years elapsed between abandoning the battery-swapping idea and having a product in the market at any volume.

The second finding shaped the company even more visibly. Their research surfaced that something in the region of half of Indian electric-vehicle owners had considered going back to petrol because of charging concerns. So Ather did something that looks commercially irrational on paper. It built a public fast-charging network, the Ather Grid, before it had the sales volume to justify it, reaching more than 2,500 charge points across 230-plus cities by mid-2024. And then it went further and open-sourced its charging standard, so that competitors' scooters could use the network it had paid for.

Read that again. A company with limited capital spent it building infrastructure that helps the people trying to beat it. That decision only makes sense if you are precise about what the research actually said, and working out what it must have said is a good use of ten minutes before class.

It is also worth noticing who Ather went and talked to, because it is not who you would expect. They spoke to people who had *not* bought an electric scooter, including people who had bought a petrol one instead, about a decision those people had actually made. Almost nobody in that group was an Ather customer, or could have been.

5 The Numbers

Nokia held more than 40% of the global handset market at its peak in the mid-2000s. In 2013 it agreed to sell its devices business to Microsoft for roughly five and a half billion euros, a large number in isolation and a small one for what had been the dominant company in a global category. Its share of the market it once owned fell to a rounding error within about five years of the iPhone's launch.

Micromax reached roughly 17% of the Indian smartphone market in 2014-15 and was briefly the country's largest smartphone brand. By 2018-19 it was outside the top five and its share was in low single digits. The company still exists and has attempted a return, which complicates the tidy morality of the story, but the position it lost has not come back.

Ather, in FY24, reported revenue of about ₹1,754 crore on roughly 109,500 vehicles sold, an average realisation of around ₹1.6 lakh per scooter, and held about 11.5% of India's electric two-wheeler market as the third-largest manufacturer, with 208 experience centres across 154 cities.

Be careful with those figures, because they invite a wrong conclusion. Ather is not a triumphant counter-example to two giants. It is far smaller than either company was. It operated its factory at only around 29% utilisation in FY24, its premium pricing limits how far down the market it can reach, and it has had to compete for awareness against much larger rivals. Hero MotoCorp's ₹205 crore was what allowed it to scale at all.

So the honest comparison is not 'good research made Ather bigger than Nokia'. It is narrower than that, and you should try to write the narrow version yourself in one sentence before the class does it together.

6 The Question This Case Sets Up

Nokia asked its customers what to improve, got accurate answers, believed them, and was gone within five years. Micromax asked its customers what to improve, got accurate answers, believed them, and lost four-fifths of its share in three years. Ather asked people who had refused to buy an electric scooter about a purchase they had already decided against, and changed its entire company on the answer.

All three did research. All three got true answers.

So the question the class opens on is not whether to do research. It is this: **what has to be true of a question before the answer to it is worth anything?** Come with an opinion. You will be asked to commit to one in writing in the first five minutes, before anybody tells you what a good question looks like.

CASE B

What Was Already Known, and What Nobody Had Asked

Two Indian companies found their opening in a statistic anybody could have read for free, and then went and found the thing that no statistic could ever have told them

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

There is a pattern buried in both halves of this case and the whole class depends on you spotting it, so read for the pattern rather than for the companies. In each story something is discovered by reading, and something else is discovered by going and looking at a person. The two findings are always different in kind, and — this is the part people miss — neither one would have been enough on its own.

Keep two columns in your head as you read. What did they learn without leaving the desk, and what did they only learn by being in somebody's home? Then, as you finish, notice a third thing about what is sitting in public that almost nobody bothers to read.

1 Lenskart: The Number That Was Sitting in Plain Sight

Lenskart was founded in 2010 by Peyush Bansal, who had studied and worked abroad and returned to India to build an online business. The first version was not even eyewear. It was a broader online retail idea, and eyewear was chosen because of what the numbers said about it.

The numbers about Indian eyewear are extraordinary, in a way that is entirely visible from a desk. India has an enormous population of people who need vision correction and do not have it. The company's own framing of the market, which its founder still uses publicly, is that around 65% of Indians do not have access to vision correction at all. Set that beside a second fact anybody can verify: the vast majority of eyewear in India was, at the time, sold through small independent opticians with no published prices, no brand, no returns policy, and margins the customer had no way to assess.

Now notice what kind of knowledge that is. Every part of it — the population statistics, the penetration estimates, the fragmented retail structure — was sitting in published surveys, health ministry data, industry reports and ordinary observation of any market street in any Indian town. Nobody had to be interviewed for a single word of it. A person with a laptop and one focused afternoon could have assembled the entire picture.

And the picture says something enormous: here is a category where hundreds of millions of people need the product, most of them do not have it, and the existing way of selling it is opaque and untrusted. It is also worth noticing the reverse case. If that same afternoon had shown that 90% of Indians who needed glasses already had them and were happy with their optician, the correct response would have been to stop — and stopping would have cost one afternoon instead of four years.

2 What the Afternoon Could Not Explain

Here is where the case turns. Everybody could see that hundreds of millions of Indians needed glasses and did not have them. Nobody reading a report could tell you *why* that was still true.

Was it because glasses cost too much? Because there was no optician nearby? Because people did not like how they looked in them? Because of something else entirely?

Four completely different businesses follow from those four answers. A cheaper-glasses business, a distribution business, a fashion business, and something nobody has thought of yet. No amount of reading chooses between them, because the answer is not written down anywhere.

3 The Finding That Required Somebody's Living Room

The finding that shaped the company is one of the most instructive in Indian consumer business, and it is almost invisible from any desk. A very large share of the people who need vision correction do not know that they need it.

Read that again, because it is stranger than it first appears. The obvious model of the problem is a person who knows their eyesight is poor and cannot afford or reach a solution. The actual situation, for an enormous number of people, is that vision degrades slowly enough that the person adapts without noticing. They sit closer. They squint. They stop reading small print. They decide they are not good at night driving. They conclude a child is inattentive in class rather than unable to see the board. There is no moment at which they think 'I need glasses'. There is therefore no search, no shop visit and no purchase — and no amount of making glasses cheaper or more available will change that, because the customer is not looking.

If that is the real barrier, the business you have to build is not a cheaper eyewear shop. It is a business that gets an eye test in front of somebody who was not asking for one. Which is precisely what Lenskart did with the home eye check-up: sending a trained person with equipment to a customer's house to test their eyes, initially free.

Read that as two things at once, because it is both. It is a service, and it is a way of finding things out — it puts the company physically in the customer's home at the exact moment the need becomes undeniable, and it produces a continuous stream of original information about a population that has never walked into an optician. In FY25, Lenskart's services line, which is memberships and eye check-ups, was about ₹133 crore, up 27%, sitting alongside ₹6,360 crore of goods sales.

> **WORTH PAUSING ON**
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> Put the two halves of the Lenskart story side by side and be precise about what each one gave the founders. One of them decided whether to enter the market at all. The other decided what the product had to be. Before you read on, work out what happens to a company that does only the first, and what happens to a company that does only the second.

4 Wakefit: A Category With No Way to Compare Anything

Wakefit was founded in 2016 by Ankit Garg and Chaitanya Ramalingegowda, selling mattresses directly to consumers online. Garg had worked in the foam and mattress industry, and the founding observation came from inside a category almost nobody thinks about until the night they cannot sleep.

The picture of Indian mattresses in 2016 was, if you bothered to look, a description of a broken market rather than a growing one. Mattresses were bought roughly once a decade, from a physical shop, at a price the customer could not

evaluate against anything. There were no published prices to compare — the same product carried a different figure in two shops on the same road. The specifications that mattered, like foam density, were not printed on anything a customer could read. And the chain from factory to showroom to customer added layers of margin that were entirely invisible from the buyer's side.

None of that required an interview. It required walking into four shops and reading a handful of industry pieces. And it tells you something specific and actionable: this is a category where the customer cannot compare — which means a brand that sells directly, with published prices and published specifications, can take share without being cheaper, simply by being legible.

It is worth pausing on why selling direct works arithmetically, because students often treat 'cut out the middleman' as a slogan rather than a calculation. In a traditional chain the factory sells to a distributor, who sells to a showroom, who sells to you, and each layer takes a margin to cover its own rent, staff and unsold stock. Removing two of those layers does not merely make the product cheaper. It makes it possible to spend the saved margin on things the customer can actually see: a hundred-night trial, free delivery, a published warranty, none of which a showroom could ever have offered. Wakefit's FY25 material costs of about ₹573 crore against revenue of ₹1,274 crore give a sense of the room this creates. Roughly ₹45 of every ₹100 goes into the product itself, and the rest funds everything the old chain used to absorb invisibly.

5 What That Reading Could Not Tell Them

Nothing at all about the customer's actual night.

Whether Indians sleep badly, why, what they blame it on, what they have already tried, what wakes them at three in the morning, and whether any of it has anything to do with the mattress they are lying on. None of that exists in a market report, because market reports count transactions and this is not a transaction. A person who sleeps badly and blames their phone will never search for a mattress.

6 The Great Indian Sleep Scorecard

Most companies go and ask customers things as a project. Somebody commissions a study, a report arrives, it informs a decision, and it is forgotten. Wakefit did something structurally different, and it is the reason this company is in the class: they turned it into an annual institution.

The Great Indian Sleep Scorecard is a survey Wakefit has now run for eight consecutive years. The 2025 edition covered more than 4,500 respondents across India, gathered between March 2024 and February 2025. Its findings are the kind of thing no published report could have supplied: about 58% of respondents go to bed after 11 pm, around 44% do not feel refreshed when they wake, roughly 84% use their phones before bed, and about half of those blame scrolling and watching for their late nights. Around 59% report feeling sleepy at work during the day. There are regional differences too — Kolkata reported the highest share of late sleepers, at nearly 73%.

That survey does at least three separate things for the business, and most people see only the first. Try to name all three before the class does. One clue: the survey has now run for eight years with a consistent instrument, which gives the company something a competitor cannot buy by commissioning a survey of their own this year.

One honest caveat, because it teaches something about surveys generally. A survey of 4,500 self-selected respondents run by a mattress company is not a clinical study, and people who choose to answer a sleep survey are more likely to be people who think about sleep. The findings are directionally useful and should not be treated as national medical fact. That caveat does not weaken the case. It sharpens it.

7 The Numbers

One definition first. **Operating revenue** is what a company earns from its actual business activity in a year, before other income. **Net profit**, or profit after tax, is what is left after every cost including tax. Where a company is loss-making, **EBITDA** — earnings before interest, tax, depreciation and amortisation — is a rough indicator of whether the core operation is covering its own running costs before financing and accounting charges are applied.

Lenskart, in FY25, reported operating revenue of about ₹6,653 crore, up roughly 23% from ₹5,428 crore, and swung to a net profit of about ₹297 crore from a loss of around ₹10 crore the previous year. India accounted for about ₹4,015 crore of that revenue, growing 27%, with 282 new stores added in the year and unit sales of eyewear in India up around 30%. International markets contributed about ₹2,638 crore. Marketing spend was about ₹448 crore, and the services line containing eye check-ups and memberships was about ₹133 crore. That last figure is small next to the rest, and it is the one worth pointing at.

Wakefit, in FY25, reported revenue of about ₹1,274 crore, up nearly 30% from ₹986 crore, with EBITDA of roughly ₹59.5 crore and a net loss of about ₹35 crore, widened from ₹15 crore the year before. Material costs of about ₹573 crore made up around 43% of expenses. The company has since received regulatory approval for a public offering. Read those numbers carefully: this is a company growing quickly and still losing money at the bottom line, which is the ordinary condition of a direct-to-consumer brand building a national footprint, and it would be dishonest to present the sleep survey as the reason for a profit that does not yet exist.

Now the comparison that actually matters, and it is about cost rather than revenue. The desk work in both cases — the penetration statistics, the retail structure, the pricing opacity — cost essentially nothing and could have been done by anybody in an afternoon. The other kind cost real money: sending trained people with equipment into homes, and running a 4,500-person survey every year for eight years.

8 The Question This Case Sets Up

Think about what one interview actually costs you. Not money, because most of the interviews you will do in your life will be free. It costs somebody's forty minutes, given to you as a favour, and you can spend it only once. That person will answer perhaps fifteen questions before their attention goes.

Fifteen questions. That is the entire budget.

Here is where the class opens. **How many of those fifteen are you willing to spend establishing facts that somebody has already published, for free, where anybody could read them?** And then the harder half, which is the one the whole session is built on: of everything Lenskart and Wakefit knew, which findings could a competitor have got hold of just as easily — and which could they not?

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
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> Four questions per case. Spend twenty-five minutes on the set and write your answers down, a line or two each. They will not be collected or graded, but you will be asked for them out loud, and 'I didn't think about it' is a much worse position to be in than a wrong answer.
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> There are no model answers at the back of this document. That is deliberate.

On Nokia, Micromax and Ather

1. **Nokia asked its own customers what to improve, and got true answers.** Write down two separate things that were wrong with doing that — one about what was being asked, and one about who was being asked. Then decide which of the two would have been harder for somebody inside Nokia to spot, and say why.

2. **Micromax in 2008 and Micromax in 2015 were the same company.** Describe the change in one sentence, without using the words 'lazy', 'complacent' or 'arrogant', because none of those are accurate. Then name the thing that made the 2015 version so easy to slide into.

3. **Ather spent scarce money building charging points that competitors' customers could use.** Work backwards: what must their research have told them, exactly, for that to be a sensible decision rather than a generous one? Write the finding as a sentence in quotation marks.

4. **Take something you are personally sure about** — a course, a career, a city, an app everyone you know uses. Name the one piece of information that would genuinely change your mind about it. If you cannot name one, say so honestly, and notice what that means.

On Lenskart and Wakefit

5. **Lenskart's founders learned one thing by reading and one thing by sitting in somebody's living room.** Write both findings down in your own words. Then say which of the two a competitor could have obtained just as easily, and what follows from that.

6. **Pick any product you bought in the last month.** Spend fifteen minutes finding out everything you can about that market without speaking to a single person — prices, competitors, complaints, whatever exists. Then write down the one question you still cannot answer, and be specific about why no amount of further searching will answer it.

7. **The Sleep Scorecard does at least three things for Wakefit.** Name all three. The third one is the one almost nobody gets, and the clue is that it has run for eight years rather than one.

8. **Make the case against this document.** A survey of 4,500 self-selected people, run by a mattress company, reported as a national sleep statistic. Say how far you would trust it and what you would refuse to use it for.

Come with your eight answers and one genuine disagreement. Both of these cases are written to make a point, and a point that nobody argues with is worth very little. If some part of either story struck you as unfair to Nokia, too kind to Ather, or too neat about Lenskart, say so out loud.